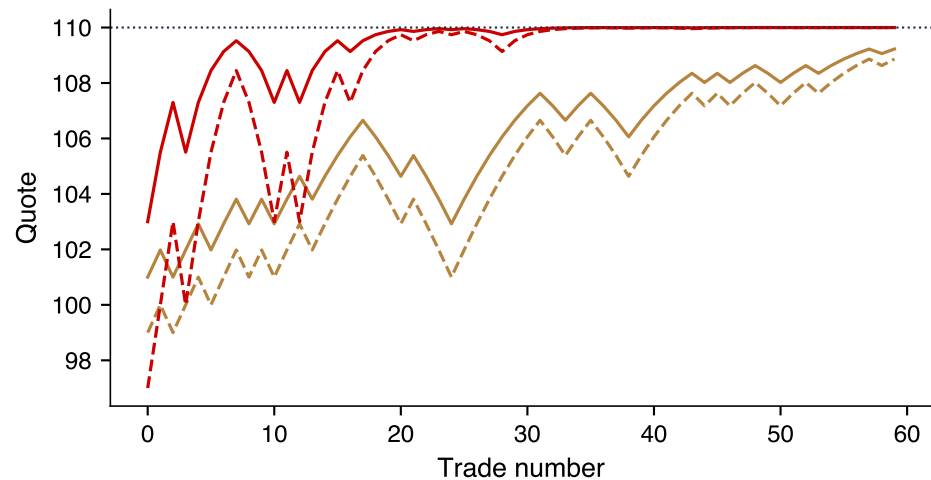


Adverse selection widens the spread



Quotes learn the true value $V = 110$



— Initial spread ask - bid ($V_L = 90$, $V_H = 110$)

— Ask, $\mu = 0.1$

— Bid, $\mu = 0.1$

— Ask, $\mu = 0.3$

- - - Bid, $\mu = 0.3$